

Covariance and Correlation

:- Covariance is a statistical term that refers to a systematic relationship between two random variable. In which a change in the other reflect a change in one variable

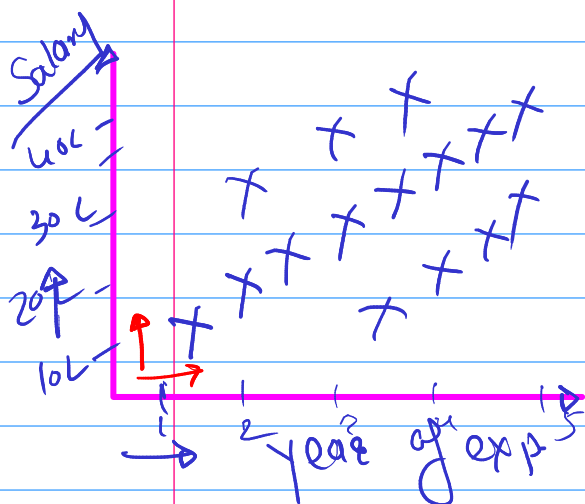
∴ The range of Covariance is between $-\infty$ to $+\infty$.

+ve | -ve

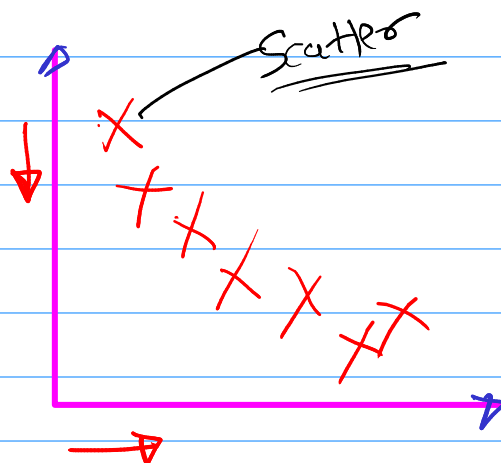
+30, +300, +3000, ..., ∞

-30, -300, -3000, ..., $-\infty$

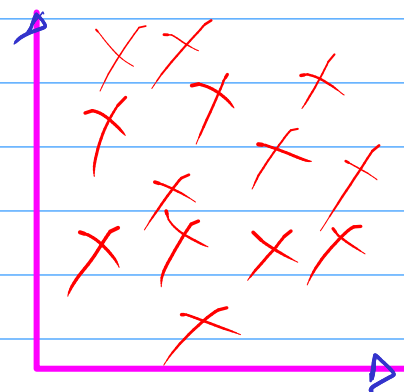
year of exp	Salary



+ve Covariance



-ve Covariance



zero / No Covariance

↳ Disadvantage of Range $-\infty$ to $+\infty$

Correlation

If one variable increase does the other variable increase or decrease.

↑ ↑ | ↑ ↓

∴ The range of Correlation is between -1 to +1

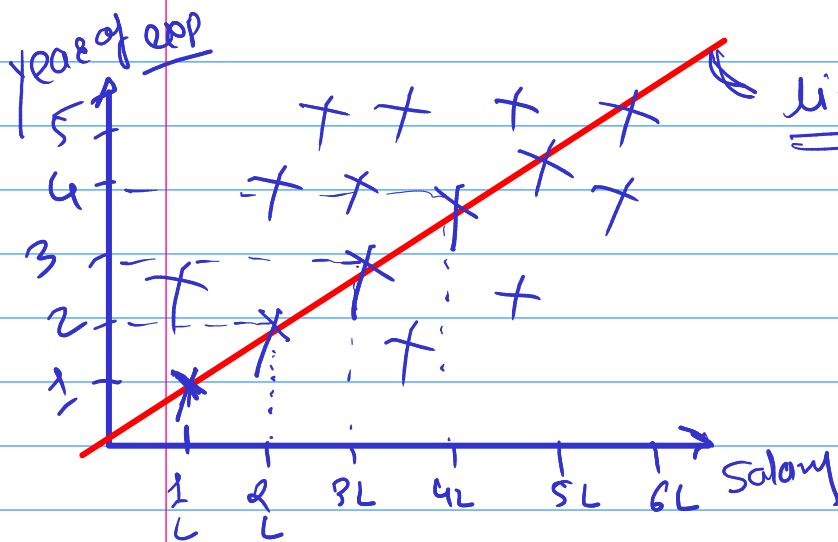
-100%

100%

① Pearson Correlation

→ Linear line

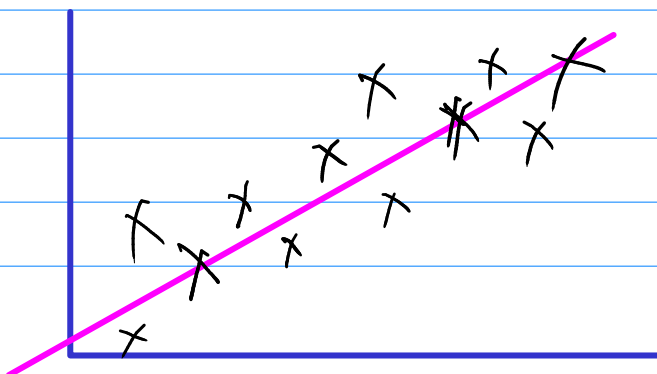
∴ It is the most common way of measuring a linear Correlation.



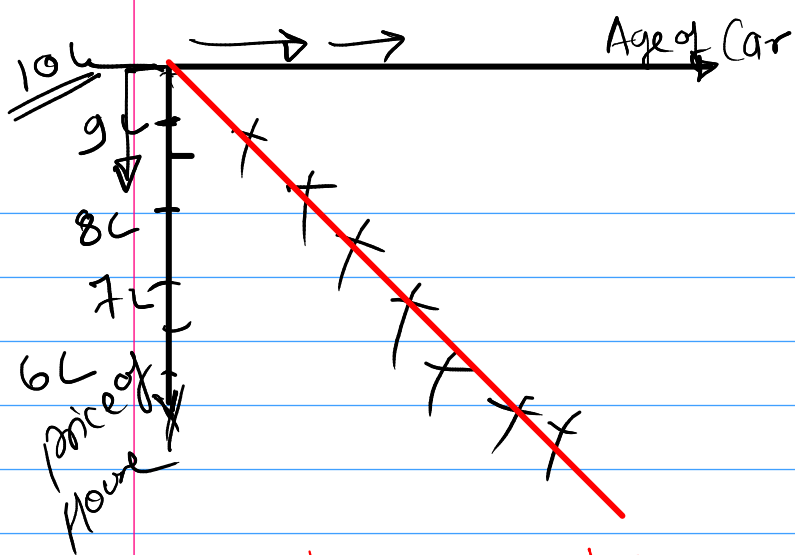
Salary ↑ years ↑

+ve Correlation
+ 100%

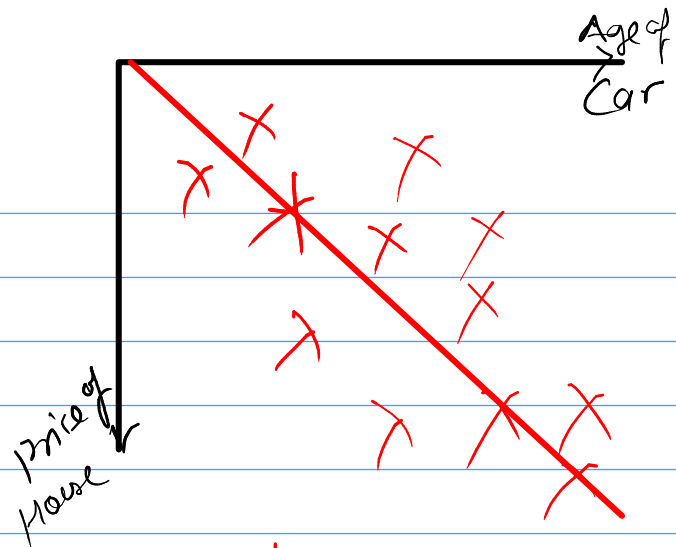
Linear line
 $y = mx + c$



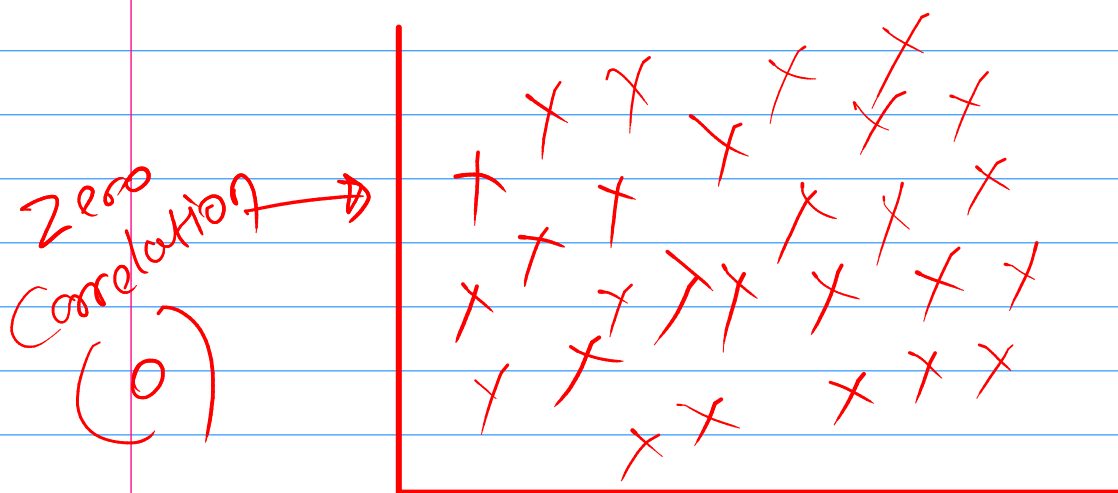
→ 0 to 1 Correlation
moderate positive



Strong negative
-100% (-1)

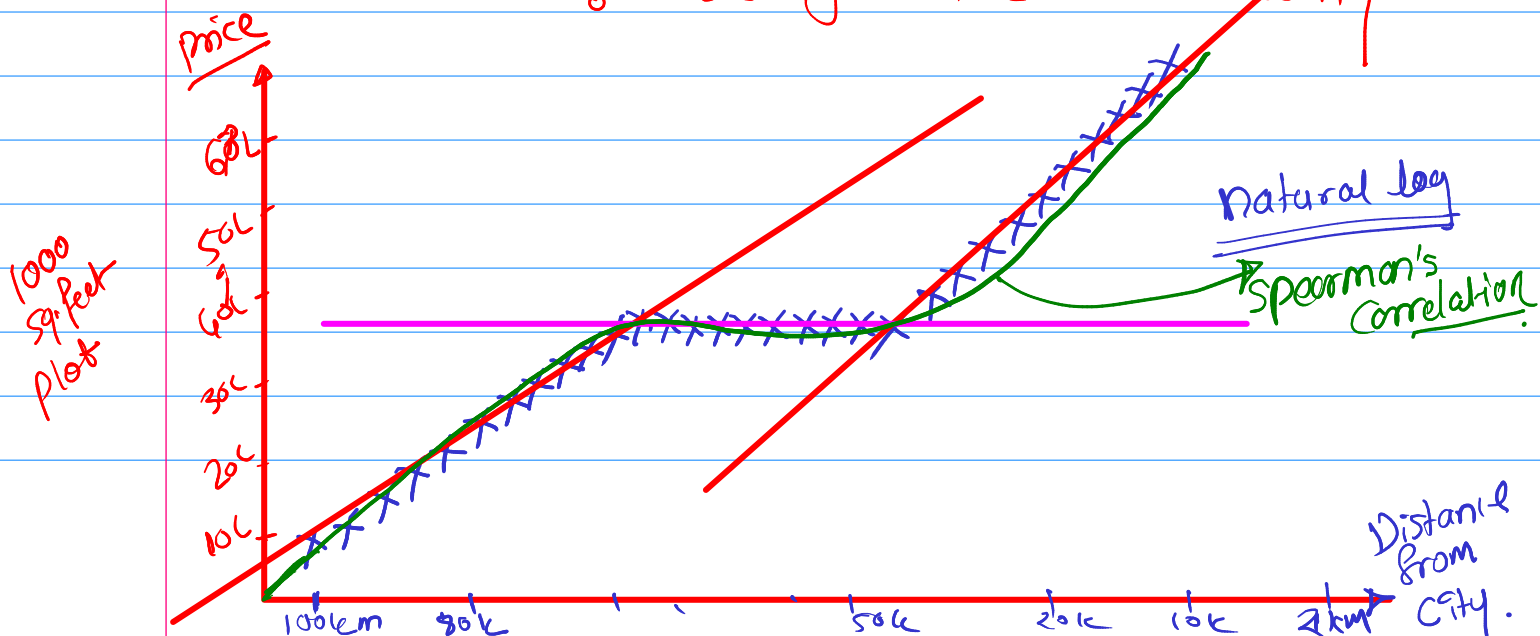


moderate negative
(-1 to 0)



② Spearman's Rank Correlation (-1 to +1)

:- use for the non-linearity



Types of Analysis

① Univariate → only one feature

② Bivariate → two feature

③ Multivariate → more than two

① Univariate Analysis

Categorical

Numerical

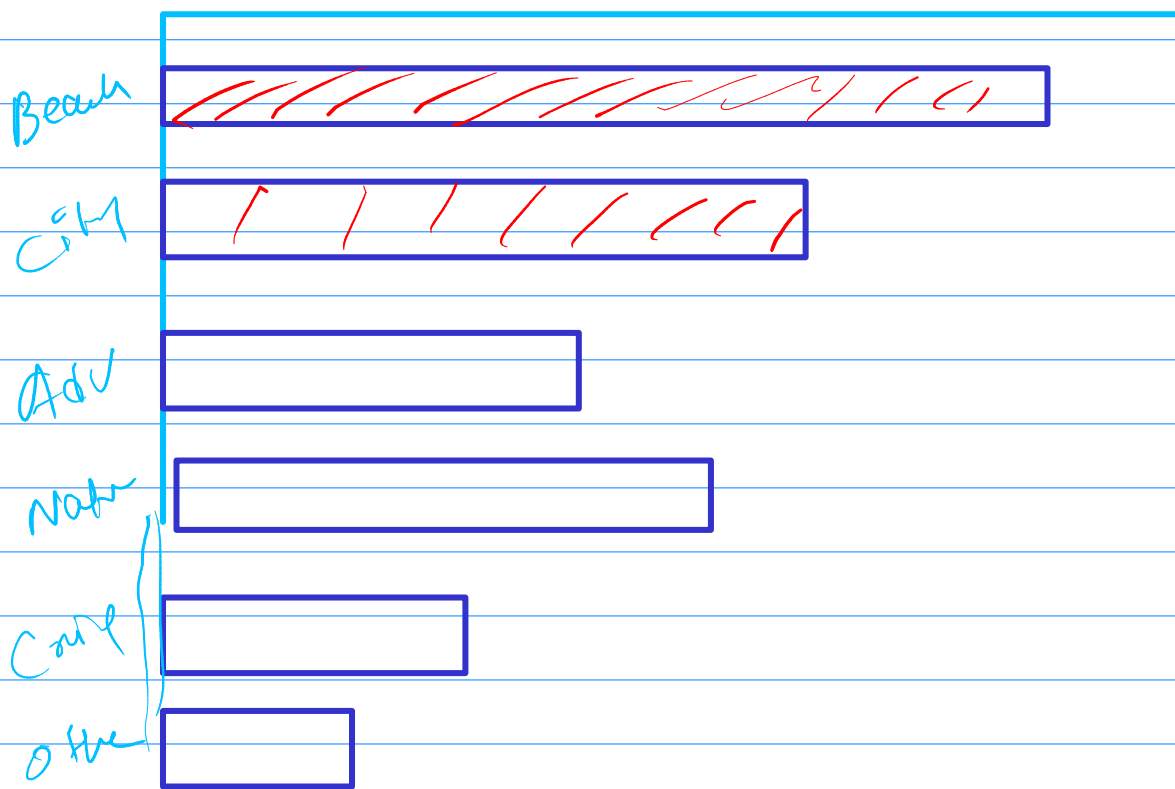
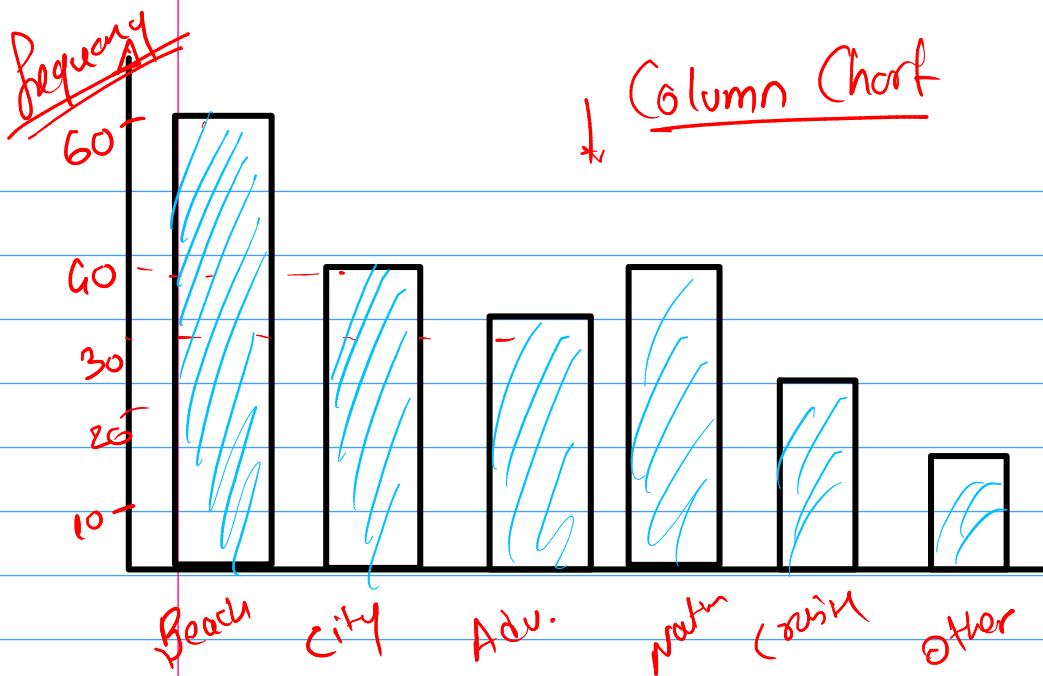
① Categorical Feature → Value-Counts()

Frequency Distribution Table

200 Student
Vacation
Data.

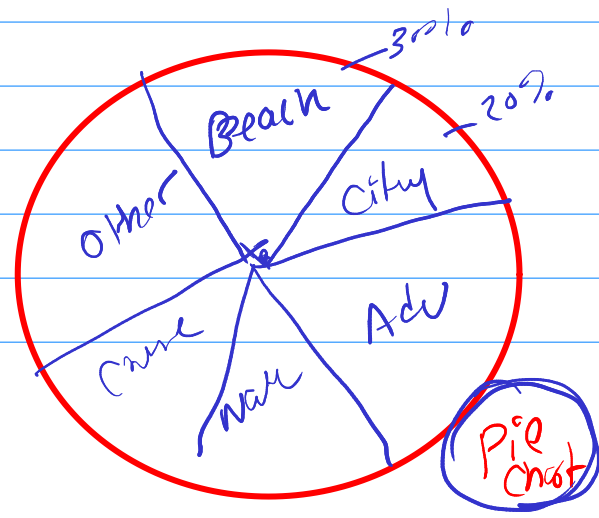
Type of Vacation	Frequency
Beach	60
city	40
Adventure	30
Nature	35
cruise	20
other	15

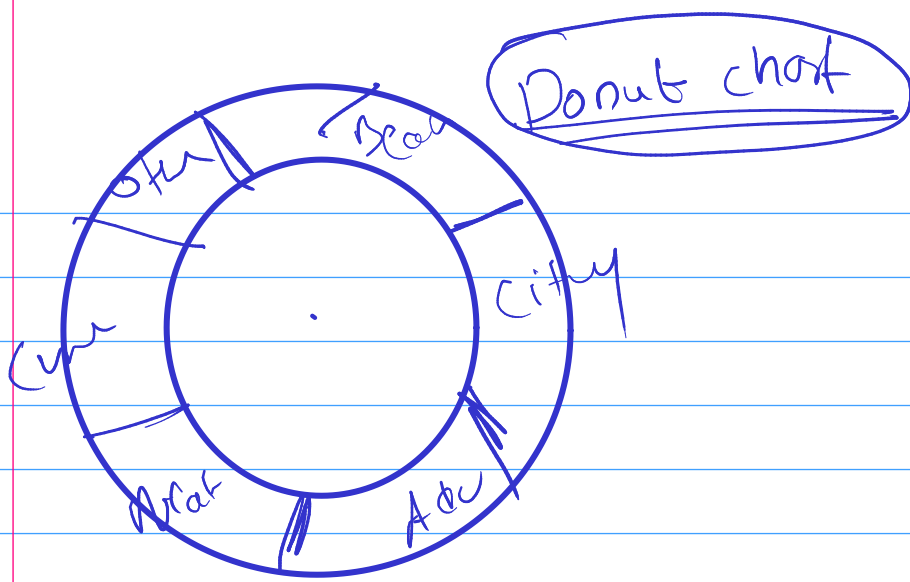
⇒ Bar chart /
Column chart.



Distribution (Rate) → percentage → Relative Frequency

	<u>Freq</u>	<u>Relatve Freq</u>
Beach	60	$60/200 = 0.3 = 30\%$
City	40	$0.2 = 20\%$
Adv	30	$0.15 = 15\%$
Nature	35	$0.175 = 17.5\%$
Crime	20	$0.1 = 10\%$
Other	15	$0.075 = 7.5\%$
		<u>100%</u>





Cummulative frequency (Waterflow chart)
 addition / Running total



momtn (profit)

J → 10L

F → 6L

M → 4L

A → 2L

M → 8L

J → 9L

J → 10L

A → 12L

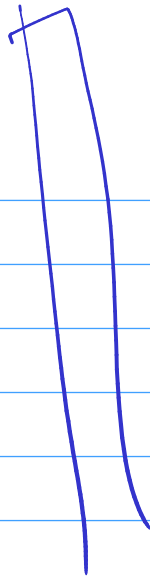
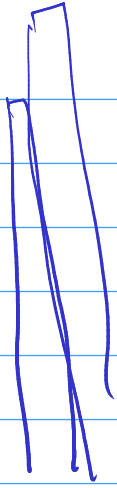
S → 4L

O → 2L

M → 6L

D → 5L

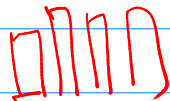




② Univariate Analysis - Numerical Column

Age

→ Bar



8 9 10 11 12 13 - - - - - 30

Bins →

Categorical Conversion

200
Student

8
9
12
15
28
25
9
8

Age group

8-18

18-25

25-45

45-60

✓ Teen

✓ Adult

✓ Sr. Adult

✓ Senior

✓ old age

10

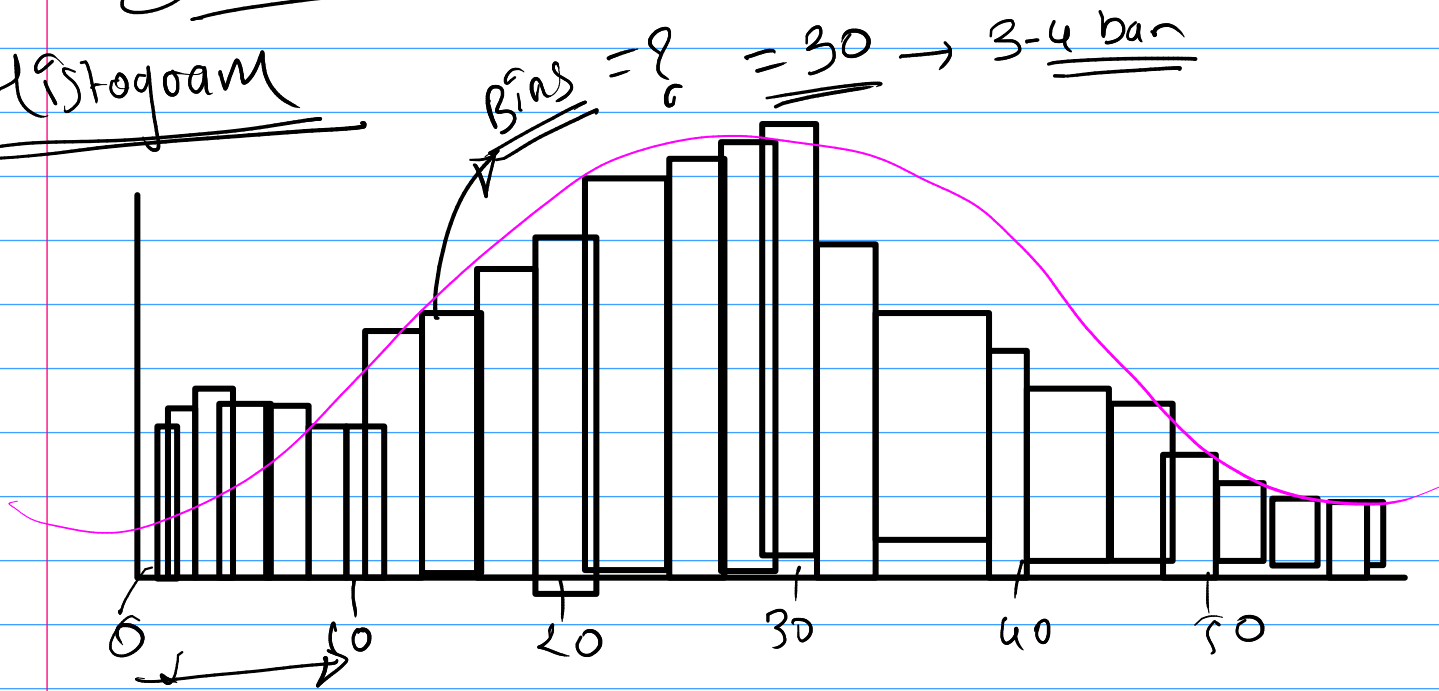
12

15

17

Distribution (Numerical Data)

Histogram



Bivariate Analysis

Categorical vs
Cat

Num vs
Num

Num vs Cat/
Cat vs Num

① Cat vs Cat ⇒ Contingency Table / cross Tab

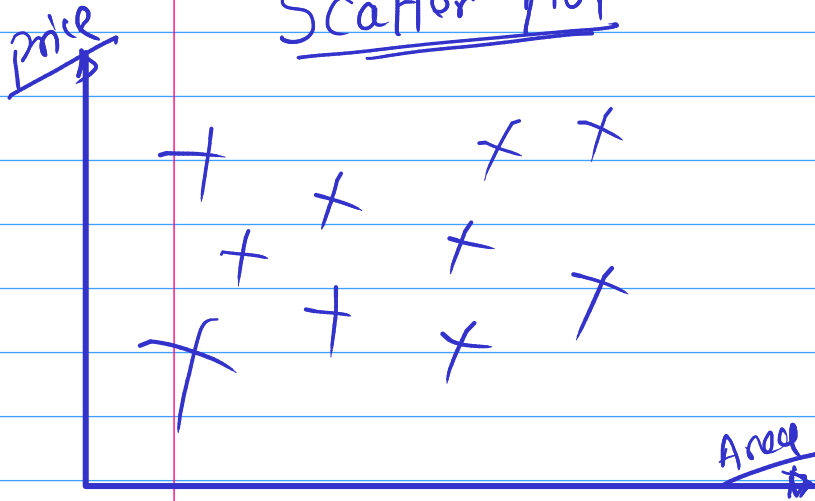
Gender	Exam
M	Pass
F	Fail

200 student

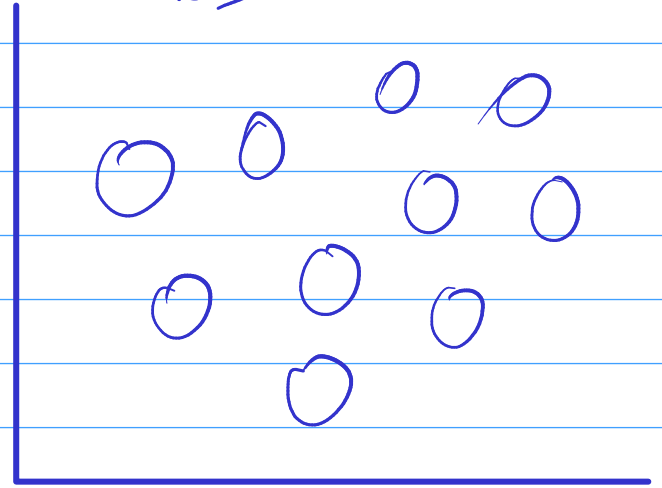
Result

Gender	Pass	Fail
M	29	45
F	30	73

② Num Vs. Num
Scatter Plot



Bubble chart



③ Cat Vs Num / Num Vs Cat.

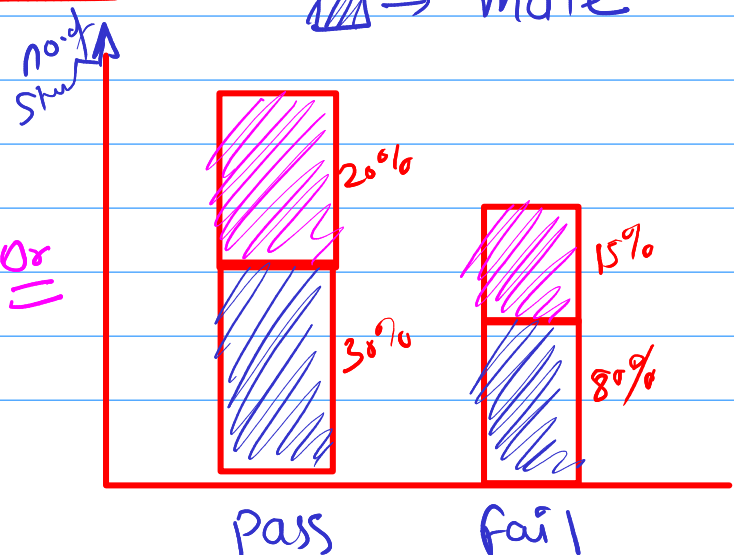
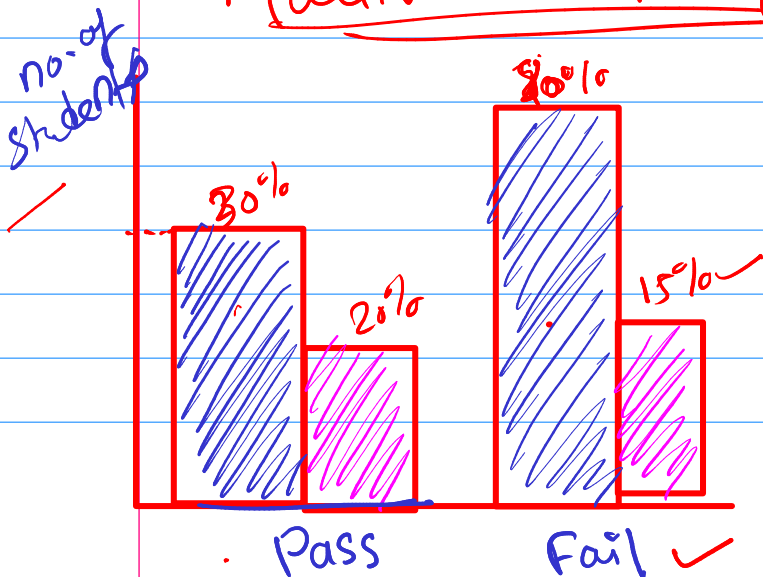
Age

	Teen	Adult	Old age
Male			
Female			

Contingency table

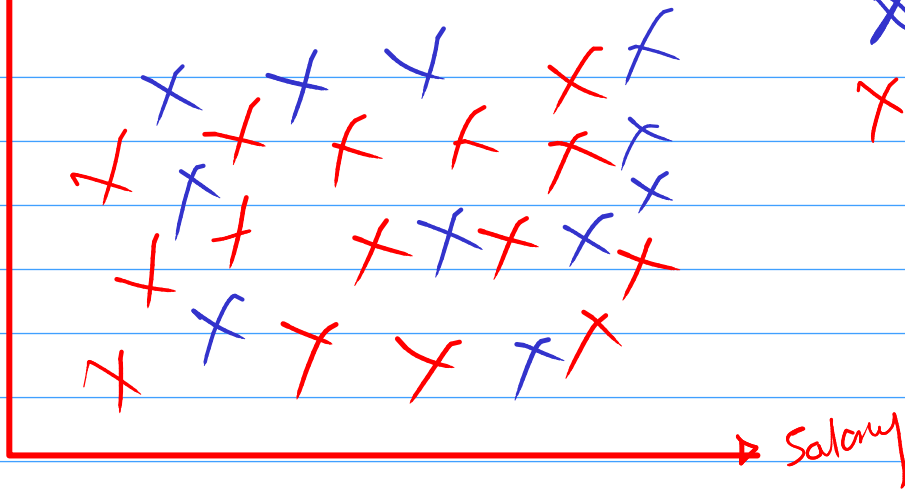
Multivariate Analysis

legend  → Female
 → Male



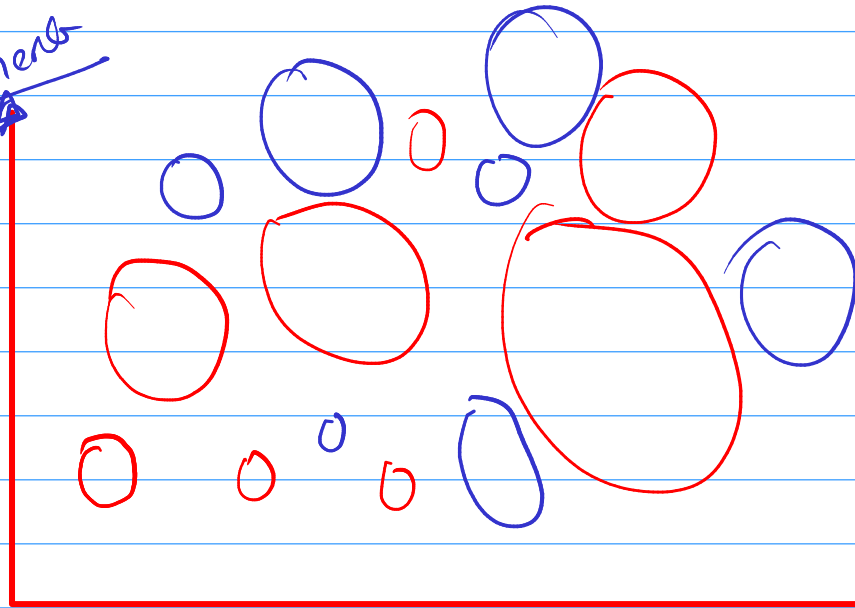
num + num + cat

yearly exp.



X → Male
X → Female

Investment



bubble size
= Income
size

○ → India

○ → Remote

month no